

3.2 TAXATION IN HONG KONG

Multiple Choice Questions

1990/CE/II/31

Which of the following are indirect taxes?

- (1) excise duty
 - (2) estate duty
 - (3) rates
 - (4) profits tax
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (4) only
D. (3) and (4) only

1995/CE/II/44

In July 1994, Mr. Chan bought a new house in Shatin and moved in immediately. In this case, the taxes that Mr. Chan has to pay for the financial year 94-95 are:

- (1) stamp duty
 - (2) property tax
 - (3) rates
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

1997/CE/II/41

The following are the annual income of Peter in Hong Kong in 1996.

Type of Income	Amount (\$)
Salaries as a teacher in a secondary school	600 000
Interest from local deposits	4 000
Rental income from letting a flat to a Japanese	300 000

According to the taxation system of Hong Kong, Peter has to pay

- A. salaries tax only.
B. salaries tax and interest tax.
C. salaries tax and property tax.
D. salaries tax, interest tax and property tax.

1998/CE/II/40

Mr Chan has the following incomes:

- (1) year-end bonus
- (2) dividend from shares
- (3) capital gain in foreign exchange speculation
- (4) rental income from leased properties

According to the tax system of Hong Kong, which of the above incomes are subject to taxation ?

- A. (1) and (2) only
- B. (1) and (4) only
- C. (2) and (3) only
- D. (3) and (4) only

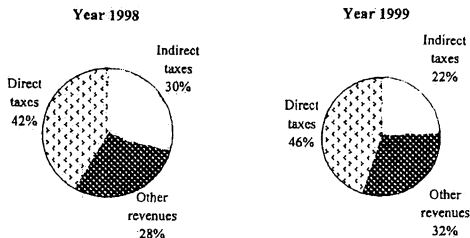
2000/CE/II/42

Which of the following is a direct tax in Hong Kong?

- A. estate duty
- B. rates
- C. interest tax
- D. sales tax

2001/CE/II/37

The following charts show the composition of the General Revenue Account of Hong Kong in 1998 and 1999.



Based on the above data, in the year 1999

- A. the ratio of direct taxes to indirect taxes increased.
- B. the total amount of tax revenue increased.
- C. the proportion of tax revenue in total government revenue increased.
- D. government revenue from rates decreased by 8%.

2002/CE/II/03

Mr Lee lives in his own house. He bears an opportunity cost from living in that house because

- (1) he could earn rental income from letting the house to others.
- (2) he has to pay property tax to the government.
- (3) he has paid a sum of money to buy the house.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

2004/CE/II/44

Mr. Wong has the following expenses in Hong Kong:

- (1) three nights' room charge for a local hotel
- (2) bets on football at the Hong Kong Jockey Club
- (3) spending on cosmetics for his wife

Which of the above expenses are subject to an indirect tax in Hong Kong?

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2006/CE/II/40

In September 2005, Mr Chan bought 800 HSBC shares at \$120 per share and later sold them at \$130 per share on the Hong Kong stock market.

In this case, which of the following taxes should Mr Chan pay to the government of the HKSAR in the financial year 2005-06?

- A. stamp duty
- B. capital gains tax
- C. profits tax
- D. All of the above.

2008/CE/II/40

The following are Mary's sources of income and wealth in Hong Kong in 2008. Which is subject to taxation in Hong Kong?

- A. the rental income from letting her flat
- B. dividends earned from her shares in a listed company
- C. an estate inherited from her grand father
- D. the interest received from her time deposit in a bank

2010/CE/II/40

In 2009, Mr. Ng has the following kinds of income:

- (1) interest income from his bank deposits
- (2) money left to him by his deceased aunt
- (3) rental income from letting his house

According to the taxation system in Hong Kong, Mr. Ng has to pay

- A. property tax only.
- B. property tax and interest tax only.
- C. interest tax and estate duty only.
- D. estate duty and property tax only.

2012/DSE/I/33

Serine has the following incomes:

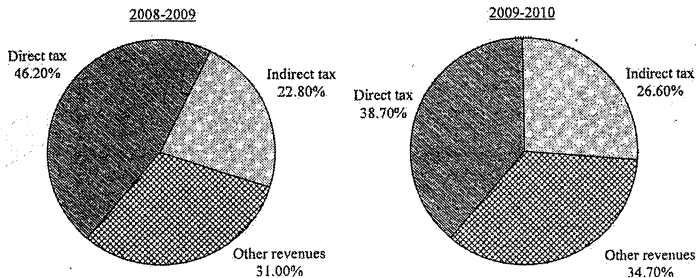
- (1) rental income from a leased flat
- (2) dividends from a local listed company
- (3) a gratuity (酬金) after completion of contract as a manager
- (4) commission received as an agent

According to the tax system of Hong Kong, which of the above incomes are subject to taxation?

- A. (1) and (3) only
- B. (2) and (4) only
- C. (1), (3) and (4) only
- D. (1), (2), (3) and (4)

2012/DSE/I/35

The following charts show the composition of the General Revenue Account of Hong Kong in years 2008-2009 and 2009-2010.



Based on the above data, in the year 2009-2010,

- A. there was an economic recession in Hong Kong.
- B. the ratio of direct taxes to indirect taxes increased.
- C. the total amount of tax revenue decreased.
- D. the proportion of tax revenue in total government revenue decreased.

2015/DSE/I/34

Which of the following are indirect taxes in Hong Kong?

- (1) Property tax
 - (2) Rates on property
 - (3) Stamp duty on transfer of stock
 - (4) General sales tax
- A. (1) and (2) only
 - B. (2) and (3) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only

2016/DSE/I/35

Mr Lam earns \$1 000 000 as a mobile app designer of an IT firm in Hong Kong. Also, he earns a \$50 000 dividend by holding shares issued by a local company. He buys a second-hand racing car and flies to the Maldives to spend his vacation through the Hong Kong International Airport.

Based on the above information, Mr Lam needs to pay _____ to the Hong Kong government.

- (1) salaries tax
 - (2) dividend tax
 - (3) first registration tax
 - (4) air passenger departure tax
- A. (1) and (4) only
 - B. (2) and (3) only
 - C. (1), (2) and (4) only
 - D. (1), (3) and (4) only

2018/DSE/I/40

A Hong Kong resident works for a Mainland company located in Shenzhen and he earns a monthly wage. He receives dividend from Hang Seng Bank and rental income from a leased apartment in Mongkok as well. He took a flight to Seoul departing from the Hong Kong International Airport last month. Which type(s) of direct tax does he need to pay in Hong Kong?

- (1) property tax
 - (2) profits tax
 - (3) salaries tax
 - (4) air passenger departure tax
- A. (1) only
 - B. (1) and (4) only
 - C. (1), (2) and (3) only
 - D. (2), (3) and (4) only

2020/DSE/I/40

Mr. Chan runs a factory in mainland China and earns a huge profit. Recently he has bought a flat and a second hand electric car in Hong Kong, and received dividends from his shares of HSBC.

According to the above information, which type(s) of tax does he need to pay to the Hong Kong government?

- (1) Property tax
 - (2) Stamp duty
 - (3) Profits tax
 - (4) First registration tax
- A. (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (1), (3) and (4) only

2021/DSE/I/41

Mr Li is a major shareholder of a Hong Kong listed company which makes huge profits. He has sold some of his residential properties, and received rental income from some leased commercial buildings.

According to the above information, which types of tax does Mr Li need to pay to the Hong Kong government?

- (1) profits tax
 - (2) stamp duty
 - (3) property tax
-
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2023/DSE/I/35

Bobby lives in his newly bought property in Wan Chai. He gains \$ 100 000 from trading shares in the stock market of Hong Kong.

Based on the above information, Bobby needs to pay _____ to the Hong Kong Government.

- (1) capital gains tax
 - (2) property tax
 - (3) rates
 - (4) stamp duty
-
- A. (1) and (3) only
 - B. (2) and (4) only
 - C. (3) and (4) only
 - D. (1), (2) and (3) only

2025/DSE/I/41

Mr Cheung earned huge profits as a sole proprietor in Hong Kong. He purchased a second-hand car and a second-hand apartment in Hong Kong for his own use.

Based on the above information, which types of indirect tax does Mr Cheung need to pay to the Hong Kong Government?

- (1) profits tax
 - (2) stamp duty
 - (3) rates
 - (4) motor vehicle first registration tax
-
- A. (1) and (2) only
 - B. (2) and (3) only
 - C. (3) and (4) only
 - D. (1), (2), (3) and (4)

Short & Structured Questions

1991/CE/1/1(a)

The following table gives the relative share of different sources of government revenue in Hong Kong:

Fiscal Year	Direct Taxes (%)	Indirect Taxes (%)	Other Sources (%)
85/86	35.4	25.8	38.8
86/87	35.6	28.7	35.7
87/88	37.0	28.5	34.5
88/89	41.0	26.0	33.0
89/90	43.0	24.0	33.0

- (i) Give **ONE** example of **EACH** source of government revenue. (3 marks)
- (ii) Based on the above data, what was the trend of the relative share of direct taxes in government revenue over the five years? (2 marks)
- (iii) Explain how **EACH** of the following would affect the relative share of indirect taxes in government revenue:
 - (I) the introduction of a sales tax (4 marks)
 - (II) a recession in Hong Kong (8 marks)

1994/CE/1/7

- (a) State whether each of the following taxes is a direct tax or an indirect tax:

- (i) property tax
- (ii) rates

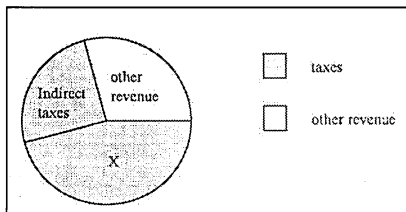
(2 marks)

- (b) Explain the difference in the tax incidence between property tax and rates.

(4 marks)

1997/CE/1/7

The following figure shows different sources of government revenue in Hong Kong.



- (a) Name X. (1 mark)
- (b) Explain why the government revenue from the source X is unstable. (4 marks)

2003/CE/1/8

Give **TWO** reasons to explain why the direct tax revenue of the Hong Kong government would decrease in times of economic recession. (4 marks)

2004/CE/1/9(a)

Hong Kong is facing a huge fiscal deficit and deflation.

Explain how government expenditure and government revenue are affected by Hong Kong's

- (i) economic downturn. (4 marks)
- (ii) ageing population. (4 marks)

2005/CE/1/11(b)

Two measures included in the Closer Economic Partnership Arrangement or 'Cepa' are:

- I. Zero tariff on 90% of Hong Kong-made products to the Chinese mainland
- II. Faster / easier market entry to the Chinese mainland for Hong Kong-based service providers in 18 service sectors

As a result, overseas companies not based in Hong Kong can take advantage of Cepa by partnering with a Cepa-qualified manufacturer or service provider in Hong Kong.

Source : Hong Kong SAR Government, 8 January 2005

Explain how the above measures would affect the direct tax revenue of Hong Kong. (4 marks)

2006/CE/1/11(b)

There are two issues for discussion concerning the public finance of Hong Kong : 'the tax base is narrow' and 'the government revenue is unstable'.

- (i) (I) Suppose a general sales tax is introduced in Hong Kong. Explain its effect on the tax base of Hong Kong. (2 marks)
- (ii) Explain how the government revenue generated from profits tax and salaries tax would be affected when there is a strong economic recovery. (4 marks)

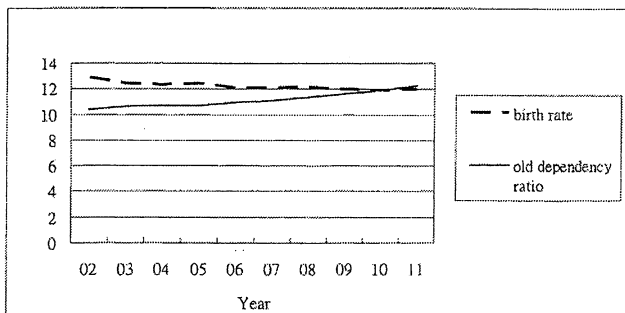
2007/CE/1/9

General sales tax has generated a lot of discussion.

- (a) Explain how the introduction of a general sales tax will affect the ratio of direct to indirect tax revenue (i.e., direct for revenue divided by indirect for revenue) in an economy. (2 marks)
- (b) Suppose economic depression occurs in an economy with a general sales tax. Explain how the economic depression will affect the ratio of direct to indirect tax revenue in this economy. (5 marks)

2014/DSE/II/10(a)

Aging is a serious problem in China. Source 1 below shows the trends of the old dependency ratio* and the birth rate** of China from 2002 to 2011.



* Old dependency ratio refers to the ratio of the elderly population to the working-age population (expressed in percentage)

**Birth rate refers to the total number of births per 1 000 population.

With reference to the trends shown in Source 1, briefly discuss the possible changes on

- (i) government tax revenue in the future.
- (ii) public health and welfare expenditure in the future.

(4 marks)

2015/DSE/II/11(b)

An accountant commented that the tax base of Hong Kong is narrow and suggested the government should introduce new types of indirect tax. Explain, with **ONE** example, how the introduction of a new indirect tax would broaden the tax base.

(2 marks)

2017/DSE/II/6(a)

Why can the introduction of a general sales tax stabilise government revenue in times of economic downturn?

(2 marks)

2019/DSE/II/10

The following table shows the changes in the individual income tax system in China effective from October 2018.

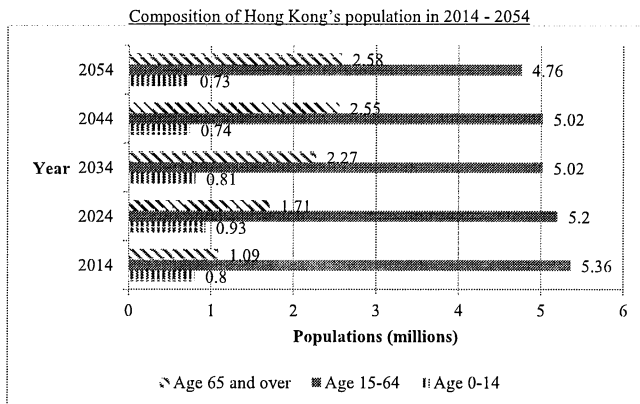
Average tax rate	Range of monthly taxable income, in Renminbi (RMB)	
	Old brackets	New brackets
3%	Less than or equal to 1 500	Less than or equal to 3 000
10%	1 501 – 4 500	3 001 – 12 000
20%	4 501 – 9 000	12 001 – 25 000
25%	9 001 – 35 000	25 001 – 35 000
30%	35 001 – 55 000	Unchanged
35%	55 001 – 80 000	Unchanged
45%	Greater than 80 000	Unchanged

- (a) Is the individual income tax in China progressive, proportional, or regressive? Explain your answer.

(2 marks)

2018/DSE/II/13(a)(ii)

The source below shows Hong Kong's population projection.



With reference to the above source, briefly discuss the possible effects of the change in composition of population on fiscal balance in the future. (3 marks)

2019/DSE/II/10a

The following table shows the changes in the individual income tax system in China effective from October 2018.

Average tax rate	Range of monthly taxable income, in Renminbi (RMB)	
	Old brackets	New brackets
3%	Less than or equal to 1 500	Less than or equal to 3 000
10%	1 501 – 4 500	3 001 – 12 000
20%	4 501 – 9 000	12 001 – 25 000
25%	9 001 – 35 000	25 001 – 35 000
30%	35 001 – 55 000	Unchanged
35%	55 001 – 80 000	Unchanged
45%	Greater than 80 000	Unchanged

- (a) Is the individual income tax in China progressive, proportional, or regressive? Explain your answer. (2 marks)